

reorganized to bring these roles in-house.³⁹ The post-1990s is called the *new REIT era* for this reason.

Even today, however, the legal structure of REITs makes them different from direct real estate investment. Graff (2001) persuasively argues that there are still large agency costs associated with REITs imposed by their legal requirements.⁴⁰ (See Part III of this book for agency problems in delegated asset management.) The 75% income test (relaxed somewhat in 1986) requiring that proportion of REIT income to be derived from real estate investments gives REIT managers greater incentives to commit capital to overpriced acquisitions than managers of private real estate partnerships. In addition, REIT managers collect a perpetuity in the form of management fees, while closed-end funds are usually scheduled to liquidate after a prespecified term and open-ended funds are supposed to liquidate after requests from investors. The 5–50 test to preserve the exemption of REITs from double taxation where each group of five or few investors cannot own more than 50% of the voting stock means that REITs cannot be taken over to remove poorly performing incumbent management. That REITs have higher average returns than NCREIF returns in Table 11.11 is consistent with the notion that REITs are riskier than direct real estate, and their higher returns compensate for the extra risk.

The legal structure of REITs can also lead to differences with direct real estate even when there are no agency considerations. The requirement that REITs pay out 90% of their income each year means REIT managers gravitate to properties already generating quality cash flows rather than investing in developments that require cash today to create cash flows in the future. On the other hand, there has been tremendous innovation in REITs recently with an abundance of issues in many new sectors, like health care, data centers, and storage. NCREIF is traditionally wedded to the “core” sectors of apartment, retail, office, and industrial partly because these new sectors are small—the markets for self-storage centers and server farms are tiny compared to the office market.

Overall, however, I believe these agency and legal differences are secondary. There are more similarities, especially over the long run, between REITs and direct real estate. This is as expected from economic theory, where underlying both are buildings and land, and this is borne out in empirical tests. The large divergences in short-run returns between direct real estate and REITs are mostly due to direct real estate returns not being returns.

6.2. REAL ESTATE AND INFLATION

The literature is sharply divided on whether real estate is a good hedge for inflation. Fama and Schwert (1977) were the first to state that real estate was a perfect

³⁹ See Decker (1998) and Ambrose and Linneman (2001).

⁴⁰ See also Sagalyn (1996) who documents agency problems in REITs.